

BAJAJ AUTO EMPLOYEES' SUPERANNUATION SCHEME (BAESS)
ELIGIBILITY / BENEFITS RULES OF THE SCHEME

- Trustees, BAESS, have set up a fund called “Bajaj Auto Employees Superannuation Fund” (BAESF) primarily for the benefit of the Retiring Eligible Employees of Bajaj Auto Ltd., post retirement.
- Employees in grade BA07 or above are covered under BAESS.
- Employee, upon choosing to become member of BAESS, **cannot opt out of the scheme until the date of retirement; whether normal, early or extended as may be applicable**, except under the specified circumstances such as death or transfer to any other approved fund, of which he becomes a member.
- A member has to submit a Nomination Form together with Entry Option Form, available in Shares / HR Department, at the time of entering into the scheme.
- **ENTRY OPTION Form for membership, together with Nomination Form, has to be submitted to and routed through the H R department.**
- Member can change nomination at any time if he so wishes, and after retirement, by communicating directly with LIC / Bajaj Allianz Life Insurance Co. Ltd. (BALIC) as the case may be.
- Benefits under BAESS are payable only upon the “Retirement” (whether normal, early, voluntary or extended, as may be applicable); where on the date of retirement, the age of the retiring employee should not be less than 50 years.
- Where an employee either resigns or retires before attaining the age of 50 years, he will have to wait until the date of his normal retirement, i.e. the date on which he would normally retire if he had continued in the service up to retirement; in which case his accumulations will earn interest at the rates declared every year. In case if he joins the employment of another company, having an approved superannuation fund, of which he becomes member, he may, by an application routed through his employer, get the entire accumulation transferred from BAESS to that Fund. Similarly a person entering into the membership of BAESS, may make an application to the Trustees, BAESS for receiving the transfer of accumulation from an approved fund/s of his previous employer/s to BAESS any time during the currency of his membership with BAESS.
- The scheme is administered through Trustees of BAESS, LIC of India and Bajaj Allianz Life Insurance Co. Ltd.
- Scheme does not require employee to contribute. Employer shall contribute **@ 15 % of Basic plus Dearness Allowance (if any) of the salary of each eligible employee**, towards the fund.
- Out of the total accumulations standing to the credit, as on the date of retirement, (whether normal, early, voluntary or extended), 1/3rd amount is payable to the member upon retirement. Member, however, has an option **not to** commute this 1/3rd. No Member shall have an option to continue as a member of the fund after the date of retirement; nor shall his unclaimed accumulation carry any interest after the date of retirement.

- The remaining 2/3rd (100%, where 1/3rd is not commuted) of the total accumulations will be handed over by the Fund to either LIC or BALIC, as may be opted by member, for payment of “Annuity” (Pension) to the member **for life**.
- In case of death of the member before retirement and /or settlement of dues, his / her nominee shall be eligible to claim the entire amount accumulated on the date of death.
- The most basic as also popular options available to a member upon retirement with Insurers are:
 - 1) **LIFE + Return of Capital (ROC)**.....where annuity (pension) as per the rate fixed by respective insurer is payable for the life of the annuitant. Under this option, purchase price of the annuity will be returnable to the nominee upon the death of the annuitant as and when it occurs. Amount of annuity once fixed shall remain unchanged throughout the life of an annuitant.
 - 2) **LIFE + 15 YEARS CERTAIN (L+15)**.....where annuity (pension) as per the rate fixed by respective insurer is payable for the life of the annuitant OR for 15 years whichever occurs later. Under this option purchase price of the annuity is not returnable after 15 years or death whichever occurs later. In case of the death of the annuitant before the expiry of 15 years, nominee shall continue to receive annuity up to the expiry of 15 years. Under this option also the amount of annuity once fixed shall remain unchanged throughout the life of an annuitant.
- All Entry / Nomination / Retirement etc. Forms are available with Shares as well as HR Departments, Akurdi Div., Pune.

Please contact Mr Suresh V. Bhagwat of Shares Deptt. – Akurdi, for any clarification.

Contact No. : (020) 6610 6063

Email : svbhagwat@bajajauto.co.in

December 28, 2015